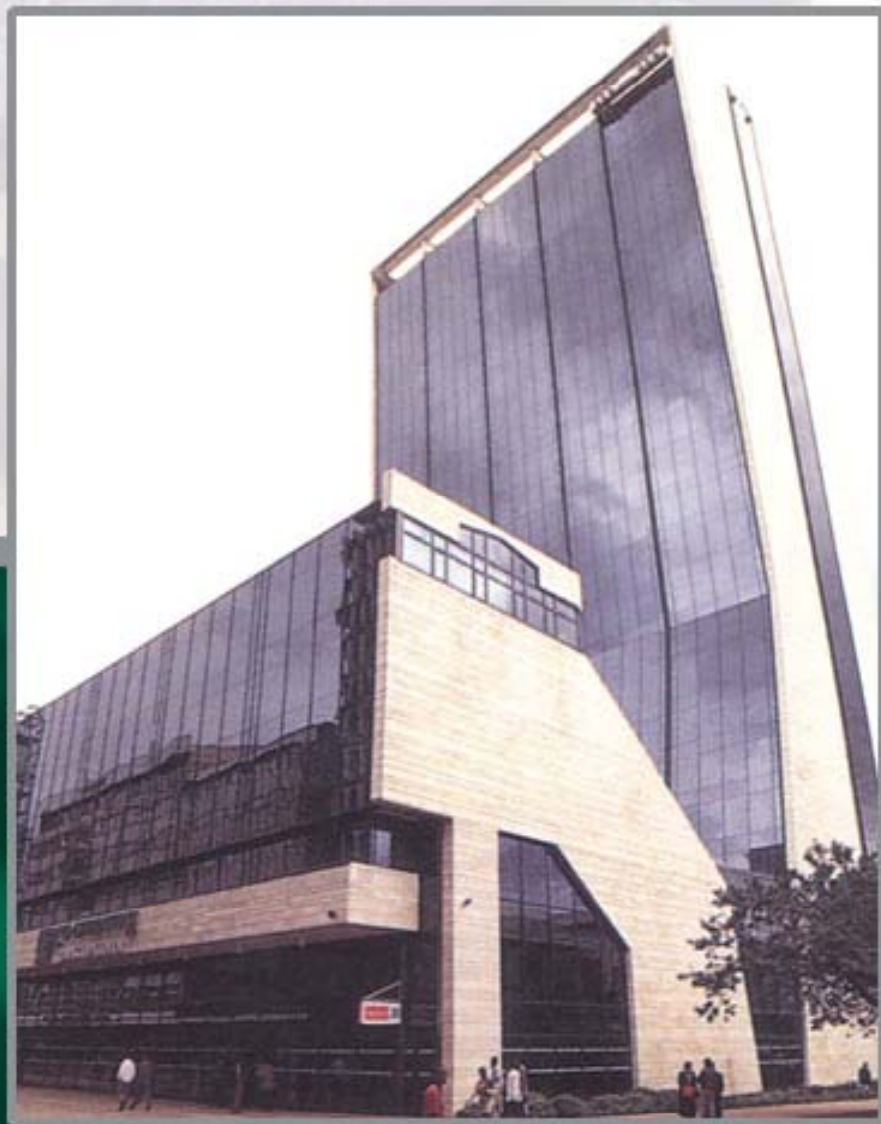


PRESENTATION OF YEAR 2010 FINANCIAL RESULTS



Gideon Muriuki

GROUP MANAGING DIRECTOR & CEO





Profit Before Tax



Co-op Bank is pleased to report a remarkable **Profit Before Tax** of **Kshs.5.77 billion** for the year ended December 31, 2010 representing a commendable **55%** growth compared to **Kshs.3.74 billion** recorded in the year 2009.

A Growing Balance Sheet



KES Billions	Dec 31, 10	Dec 31, 09	(%) Change	
Total Assets	154.3	110.7	39%	↑
Loan Book (net)	86.6	62.3	39%	↑
Government Securities	34.4	26.4	30%	↑
Total Deposits	123.9	91.5	35%	↑
Shareholders Funds	20.5	16.2	27%	↑
Customer Base	1.6 M	1.0 M	60%	↑



Balance Sheet Growth



Our growth was mainly underpinned by the growth in our balance sheet notably;



Our loan book which grew by **Kshs.24.3 billion (39 %)** as supported by our deposits which grew by **Kshs.34.2 billion (35 %)**



A similar strategy is in place for 2011 notably with a projected loan book growth of **Kshs.35 billion.**





Income Statement

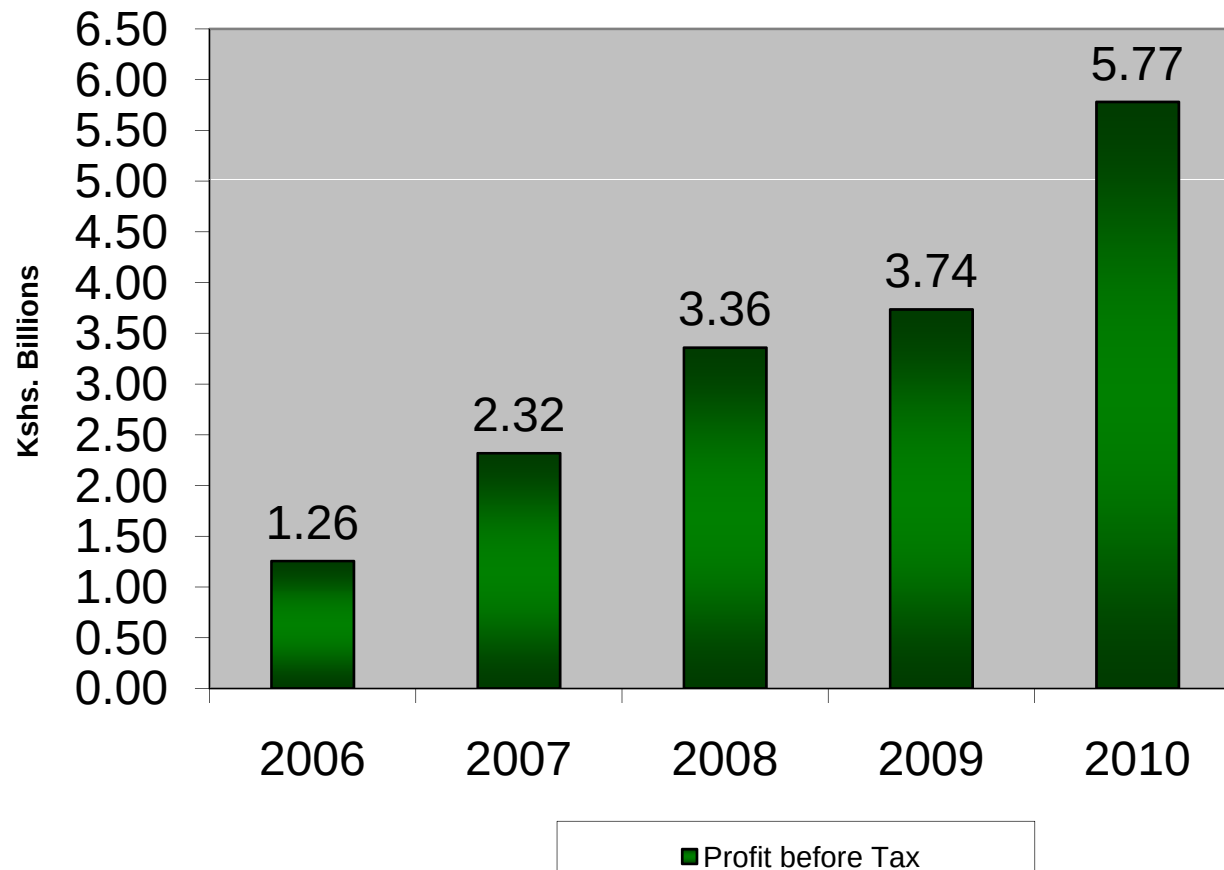


KES Billions	Dec 31, 10	Dec 31, 09	(%) Change	
Net Interest Income	9.19	6.77	36%	↑
Fees and Commissions	6.48	4.95	31%	↑
Total Income	15.67	11.72	34%	↑
Loan Loss Provisions	0.80	0.63	27%	↑
Operating Expenses	9.23	7.35	26%	↑
Profit Before Tax	5.77	3.74	55%	↑
Profit After Tax	4.59	2.97	55%	↑

Sustainable Growth



Sustainable Profitability



Sustainable Growth



- ✍ Co-op Bank remains focused on balance sheet growth as the key driver of our performance.
- ✍ In 2010 the following were the key highlights of this performance:-



Transaction Based Income



Our fees and commissions (notably ATM, personal and business banking commissions, M-Banking, Forex income and letters of credit) have grown from KSh.4.95 billion in 2009 to KSh.6.48 billion in 2010 out of the following key initiatives:-



Transaction Based Income

Customer Growth



- ✍ During the year, we continued an aggressive customer growth campaign aimed at increasing our customer base.
- ✍ The all inclusive bank staff initiative grew our customer base from around 1 million customers to over 1.6 million customers registering an over 60% growth.
- ✍ Growth in customer base ensured increased transactions volumes and hence increased fees and commissions income.



Transaction Based Income

Branch Network Expansion



- ✍ We have increased our branch network by 35 locations in 2009/2010 to reach 88 locations, a 66% growth.
- ✍ The expansions target strategic locations based on their profiles and business potential from our chosen market segments.



Transaction Based Income

Expanded Automated Teller Machines (ATMs) network

- ✍ We continued to increase our investments in ATM network and are now accessible in **370** service points.
- ✍ Also invested in over 30 Auto Banking Centre's with deposit taking capabilities thus providing our customers a 24 hour banking service.





Transaction Based Income

Front Office Service Activity (FOSA) Project



-  We continued retailing banking services through Sacco's / Fosa's to the over 7 million member co-operative movement using this unique model.
-  Our focus being to generate more income through loan products, sacco link debit cards and payment systems.
-  Through our subsidiary Co-operative Consultancy Services Limited the Bank continued to provide corporate finance capacity support aimed at increasing the number of Sacco FOSA's.
-  Currently 418 FOSA's are operational with our key focus being to increase our products offering through them and maximise commissions and other revenues.



Transaction Based Income

SACCO Link



- ✎ This ICT switch enables members of Sacco's cash at our ATM's and goods/services at Visa branded outlets globally.
- ✎ Over 308,000 cards have been issued and the product targets over 400,000 users by end of the year.
- ✎ This is well supported by the increased investment in ATMs and POSs.



Transaction Based Income

Mobile Banking

- ✍ We have enhanced our mobile banking service the M-Banking
- ✍ Our customers can now access a wide range of services such as:-
 - » Air-time top ups
 - » Money transfer to and from Mpesa
 - » Balance enquiry
 - » Utility payments among others
 - » School Fees payments (Mkaro)
- ✍ An active client base of over 403,000 customers





Liability Growth



Our strong liability growth from **Kshs.91.5 billion** to **Kshs.123.9 billion (35 %)** was underpinned by :-



Growth in number of accounts which increased to over **1.6 million** customers;



A strong Institutional and Government Banking Sector strategy;



This has driven the growth of our balance sheet and non funded income streams.



This trend is expected to continue given our continued liability growth campaign.



Asset Growth

The Bank continued to grow quality assets with increased investments in a strong credit risk management framework. Our portfolio stood at **KShs.90.9 billion** gross on a well diversified loan portfolio as hereunder:

ASSET BOOK	KSh million	%
Corporate	20,732	22.8%
Mortgage	1,349	1.5%
MCU	2,404	2.6%
SME	3,274	3.6%
Asset Finance	2,721	3%
Personal	32,065	35.3%
Agri-business	6,668	7.3%
Sacco Banking Loans	21,751	23.9%
Total (Gross)	90,964	100%



Asset Growth



Corporate and Trade Finance

- ➡ The bank has strengthened capacity thus growing the Corporate and Trade Finance book
- ➡ The result has been growth in our Forex income to over **Kshs.621 million**
- ➡ The bank is now a key player in the corporate market with significant portfolio's in corporate lending, Letters of Credit and Guarantees. This has led to tremendous increase in commissions.



Asset Growth



Co-operative Sector Lending



The bank has strengthened its focus in this key market segment. During the year our loan portfolio grew to over **Kshs.20 billion** mainly due to:-

-  Sacco Personal Loans; and
-  Working Capital Loans



Asset Growth



Personal and Business Banking



Our Personal Loan Book grew to over **Kshs.32 billion** mainly from employer based check-off loans.



This is a good quality book drawn from the various sectors of the economy.



Asset Growth



Mortgage



- ➡ Our product “**Good Home Mortgage**” is fast growing and continues to perform well in the market with a drawn book of over **Kshs.1.3 billion**.
- ➡ With the Co-operative captive market segment, this will be a **cash cow** for the bank.
- ➡ The product has over **Kshs 3 billion** in committed lines.

Asset Growth



Small and Medium Enterprise Sector



Our book grew to **Kshs.3.3 billion** in line with increased growth of this sector



With the expected County Level Government's we have re-focused our SME strategy to address potential needs.



Asset Growth



Msamaria Women's Loan



- ➡ Our product "**Msamaria**" is targeting a key segment of the market, women customers.
- ➡ With more women getting into business, this will be a key revenue generator.
- ➡ The limits are very friendly, from **Kshs 5000** to **Kshs 10 million**.



Asset Growth

Agri-based Lending



- ➡ Agri-business mainly coffee sector was substantially reduced with the **Kshs.5.2 billion** debts write off in the year 2007.
- ➡ We have enhanced our agri-business products including maziwa plus loans and Vuna Kilimo loan product thus growing a good book.
- ➡ During the year, we introduced new products namely; Amiran Kit and Nafaka Loan Product.



Credit Risk Management

Prudent Lending



-  The bank continued to enforce strict credit risk management and our overall non performing loans portfolio decreased from 9.8% in 2009 to 5.4% in 2010.
-  The bank has proactively grown a diversified portfolio.
-  Provisions for bad and doubtful debts increased by 27% to Kshs.799 million in 2010 from KShs.639 million in 2009 in line with the growth of the book.

Universal Banking Model



➡ The strategy is working for us and the contribution is as here under:-

	Dec 31, 10 (Kshs)
CIC (K) Ltd	130 million
Kingdom Securities Ltd	37 million
Co-op Trust Investments Ltd	57 million
Co-op Consultancy Ltd	(11) million





Universal Banking Model

Co-operative Insurance Company of Kenya Limited (CIC)



- ✍ During the year the bank increased its shareholding in **CIC (K) Ltd** to 21% thereby becoming a substantial/ single largest shareholder.
- ✍ The investment has contributed over **Kshs. 130 million** in year one; a significant return on investment.
- ✍ The bank thus continues to strengthen its financial supermarket model by providing insurance services.
- ✍ The new venture will result in increased commission incomes and also offer a diversified investment portfolio to shareholders.



Universal Banking Model

Co-op Trust Investment Services Limited



- ✍ Co-op Trust is now the largest locally owned fund management company with a portfolio of over **Kshs 32.3 billion** funds under management.
- ✍ They contributed a **Profit Before Tax** of **Kshs 57 million** for the year 2010.



Universal Banking Model

Kingdom Securities Limited (KSL)



- ✍ KSL has made a full turnaround with a Profit Before Tax of **KShs. 37.7 million** as at December 31, 2010 against a loss of **KShs. 19.7 million** as at December 31, 2009.
- ✍ Broadening the group's performance by taking stock brokerage services to the over 7 million member co-operative movement.
- ✍ With over 125 institutional agents countrywide, mainly Sacco's, KSL is now making a reasonable contribution to the deepening of financial markets.



New Business

Alternative Banking Channels (ABCs)



- ✍ Taking cognisance of the importance of expanding our outreach, the bank has embarked on key initiatives under ABC

Point of Sale (POS) Banking

- ✍ Through the use of ICT, we have broadened the concept of branchless banking through the POS where we are installing over 3,000 POS's countrywide.

New Business



Agent Banking



We have a project team in place who are in the process of implementing the model.



Necessary approvals have been given by Central Bank of Kenya.



We have experience in this model through the business partnership with the Co-operatives and SACCO's.



Cost Rationalisation



-  The bank optimized over 300 positions and thus was able to open additional branches with the same staff compliment.
-  **All** cost lines continue to be monitored to eliminate waste and avoid budget overruns.
-  Over 85% of the new branches are already contributing to the bottom line and the projection is all will break even by mid 2011.
-  The bank continues to lease new branch premises as opposed to outright purchase as it is both cost and tax efficient.

Human Resources



-  The key competitive edge for Co-operative Bank group is continued investment in our people.
-  The bank has heavily invested in performance management systems that are tied to compensation.
-  Both local and overseas training remains key with minimum training hours a target for every staff every year.
-  Co-op bank is now an employer of choice.

Core Banking Software



- ✍ The Bank has been on a Bank Master / Branch Power core banking system from *Misys* that has given us a key competitive edge with a capacity to hold over 7 million customers.
- ✍ The Bank is implementing the core-banking software (**Bank Fusion Universal Banking**) also from *Misys* aimed at positioning the Bank for future growth.

Regional Expansion



The establishment of Co-operative Bank of Southern Sudan is in progress with ownership as hereunder:

- ✍ 70% owned by Co-operative Bank of Kenya; and
- ✍ 30% by Government of South Sudan, on behalf of South Sudan's Co-operative movement.

Currently negotiating strategic partnerships in countries in the wider East African Market.





Co-op Bank Foundation

The bank has continued to play its co-operate social responsibility role by assisting the needy as hereunder;



-  Paying full secondary school fees to over 1,300 students from all over the country
-  The foundation targets bright but needy students
-  Paying university fees to the top 28 students from this year out of those sponsored in the secondary schools
-  Ensuring that those who graduate are absorbed in the Group.

Dividend Policy



- ✍ In view of the good performance, the Board of Directors has recommended a dividend of **40 cents per share**
- ✍ This is a **100%** increase from the 20 cents per share paid for the year 2009.

Conclusion



-  Given the various initiatives and business strategies highlighted above we project to sustain the growth momentum.
-  We sincerely thank you and all our stakeholders for the continued support over the years that has seen the success of the **Kingdom Bank**.
-  We continue to heavily invest in the Kenyan People and are confident of brighter days ahead.



**Thank you
and
may God richly
bless you all.**